

Exhibit B: 2018 OSC Audit and Village Response

Prepared for: Memorandum to the Village Board of Tuxedo Park **Audit:** New York State Office of the State Comptroller Report 2018M-66

Scope and chronology

OSC's principal audit period was January 1, 2015 through May 17, 2017. Its professional-services review extended through December 2017. The principal period therefore ended before David C. McFadden became Mayor in July 2017, while the professional-services testing crossed the transition.

Audited findings

Mayor / administration	Date / period	Area	OSC finding	Amount or population
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Professional-service competition	Competition was not solicited for 14 of 15 professional-service providers	\$926,188 paid
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Written professional agreements	Five providers lacked written agreements	\$169,330 paid
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Required quotations	11 of 23 tested purchases lacked required quotations	\$102,543
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Clerk/Treasurer controls	Incompatible duties created the ability to execute and conceal transactions without detection	Structural control finding
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Water billing	Rate documentation and billing controls were inadequate	494 inaccurate bills identified
Guinchard–Guazzoni / McFadden	2015–2017; scope described above	Information technology	Policies, recovery planning, filtering, and security training required improvement	Control finding

The dollar figures above describe different audit findings and are not additive.

Clerk/Treasurer language

OSC stated:

“Although our audit did not disclose significant findings with respect to the Village Clerk/Treasurer’s activities, the Village Clerk/Treasurer had the ability to easily execute and conceal transactions without detection.”

The Village’s October 16, 2018 response stated:

“Additionally, and more importantly, we are pleased that no instances of misappropriation or serious misconduct were discovered during the lengthy and in-depth investigative process.”

The two statements should be read together. The audit did not disclose significant findings in the activities examined, but it did identify a segregation-of-duties weakness.

Recommendation crosswalk

Mayor / administration	Date / period	OSC recommendation	Documented response or later record	Supported assessment
McFadden	2017–2023; response and later examples	Segregate incompatible duties or add compensating review	Village committed to additional review; later procedures required specified advance-paid claims to return for Board audit	Corrective review documented
McFadden	2017–2023; response and later examples	Solicit and document competition for professional services	Village response described interviews and proposal review for the attorney and engineers	Competitive-selection process described
McFadden	2017–2023; response and later examples	Use written professional agreements	Later engineering records contain written scopes, fee schedules, amendments, and acceptance terms	Written-contract discipline documented
McFadden	2017–2023; response and later examples	Obtain required written quotations	Later sewer records identify original bid prices and quotations for added work	Project-level quotation practice documented
McFadden	2017–2023; response and later examples	Clarify water and capital-improvement rates	Public rate information was later available	Public documentation improved

Procurement comparison

The \$926,188 figure is an audited historical population. The later record consists of policy changes and documented examples, not a second audit using the same sampling method. The later examples document changes in procurement procedures and contract documentation. This exhibit does not claim that later noncompetitive spending was zero.

Source

- New York State Office of the State Comptroller, [Village of Tuxedo Park: Board Oversight, Report 2018M-66](#).

No finding of completed remediation is made here for billing corrections or IT recommendations. Later project examples are identified in Exhibit C and its December 14, 2022 engineering source; they are not a follow-up audit.